Cambridge International AS & A Level

ECONOMICS

9708/02H

Paper 2 AS Level Data Response and Essays

Practice Series 2026

MARK SCHEME

Maximum Mark: 60

Difficulty: Hard

★ PREDICTED PAPER — FOR REVISION USE ★

This mark scheme is a predicted paper mark scheme produced for student revision purposes. It mirrors the structure and generic marking principles of the Cambridge International AS & A Level 9708 Economics Paper 2 mark scheme. It is not an official Cambridge International document.

Generic Marking Principles

These general marking principles must be applied alongside the specific content of this mark scheme and the generic level descriptions for each question.

GENERIC MARKING PRINCIPLE 1

Marks must be awarded in line with the specific content of the mark scheme, the specific skills defined in the mark scheme or generic level descriptors, and the standard of response required.

GENERIC MARKING PRINCIPLE 2

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3

Marks must be awarded positively: marks are awarded for correct/valid answers; credit is given for valid answers beyond the mark scheme where appropriate; marks are not deducted for errors or omissions.

GENERIC MARKING PRINCIPLE 4

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

GENERIC MARKING PRINCIPLE 6

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Social Science-Specific Marking Principles (point-based marking)

- DO credit answers worded differently from the mark scheme if they clearly convey the same meaning.
- DO credit alternative answers/examples not written in the mark scheme if correct.
- DO NOT credit answers simply for using a 'key term' unless that is all that is required.
- DO NOT credit answers that are self-contradicting or attempt to cover all possibilities.
- DO NOT give further credit for repetition of a correct point already credited.

Assessment Objectives

AO1 Knowledge and understanding

- Show knowledge of syllabus content, recalling facts, formulae and definitions.
- Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
- Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

AO2 Analysis

- Examine economic issues and relationships, using relevant economic concepts, theories and information.
- Select, interpret and organise economic information in written, numerical and diagrammatic form.
- Use economic information to recognise patterns, relationships, causes and effects.
- Explain the impacts and consequences of changes in economic variables.

AO3 Evaluation

- Recognise assumptions and limitations of economic information and models.

- Assess economic information and the strengths and weaknesses of arguments.
- Communicate reasoned judgements, conclusions and decisions, based on the arguments.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

Level	Description	Marks
3	• Detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations, supported by examples where appropriate. • Response clearly addresses the requirements of the question and explains economic issues, fully developing these explanations. • Analysis is developed and detailed with accurate and relevant use of economic concepts and theories. Where necessary, accurate and relevant use of analytical tools such as diagrams and formulae, fully explained. • Responses are well-organised, well-focused and presented in a logical and coherent manner.	**6–8**
2	• Knowledge and understanding of some relevant economic concepts is included, using explanations and examples that are limited, over-generalised or contain inaccuracies. • Response addresses the general theme of the question and the relevant economic issues, with limited development. • Analysis is generally accurate with some development but little detail. Analytical tools are used where necessary but partially accurate or not fully explained. • Responses are generally logical and coherent but sometimes lacking in focus or organisation.	**3–5**
1	• A small number of relevant knowledge points are included; response is limited by significant errors or omissions. • Response has little relevance to the question. • Analysis where provided is largely descriptive. Analytical tools, where used, may contain significant errors or be omitted. • Responses show limited organisation of economic ideas.	**1–2**
0	No creditable response.	**0**

Table B: AO3 Evaluation

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

Level	Description	Marks
2	• Provides a justified conclusion or judgement that addresses the specific requirements of the question. • Makes developed, reasoned and well-supported evaluative comment(s).	**3–4**
1	• Provides a vague or general conclusion or judgement in relation to the question. • Makes simple evaluative comment(s) with no development and little supporting evidence.	**1–2**
0	No creditable response.	**0**

Section A

Follow the point-based marking guidance at the top of this mark scheme.

Question	Answer	Marks
1(a)(i)	**Using Table 1.1, calculate the percentage point change in Germany's real GDP growth between 2021 and 2023.** • A fall of 3.4 percentage points (from 3.1% to –0.3%) (1). *Accept: –3.4 pp / a decrease of 3.4 pp. Accept the correct figure with or without 'fall'. Do NOT accept '–3.4%' without 'pp' if presented as if it were a percentage change.*	1
1(a)(ii)	**Compare the trend in Germany's unemployment rate with the trend in industrial production between 2021 and 2023.** • Unemployment fell/remained roughly stable while industrial production fell over the period (1). *Accept any response that notes a clear divergence: unemployment falling from 3.6% to 3.1%, industrial production falling from 100.5 to 94.1.*	1
1(b)	**Explain two likely impacts of a 400% rise in wholesale gas prices on energy-intensive German firms.** • Higher costs of production / squeeze on profit margins (1). • Reduced output / plant closures / relocation abroad (1). • Loss of international price competitiveness / falling exports (1). • Reduced investment / deferred capital projects (1). *1 mark max per impact. Must be identifiable and relevant to energy-intensive firms.*	2
1(c)	**Consider whether a gas price cap is an effective microeconomic policy to protect German households and firms from high energy prices.** • A price cap is a maximum price set below the market equilibrium (1). It shields consumers from high prices (1) by reducing the gap between market prices and what households/firms pay (1). • However, the effect depends on: who bears the fiscal cost (1); whether it discourages energy conservation and encourages excess demand (1); the risk of rationing or black markets (1); its distributional impact (1). *Reserve 1 mark for a valid conclusion. Maximum 3 marks for analysis without evaluation.*	4
1(d)	**Assess the extent to which a simultaneous rise in ECB**	6

Question	Answer	Marks
	interest rates and a fall in industrial production can be explained by a negative supply-side shock rather than tighter monetary policy. **Up to 3 marks for analysis supporting the supply-side shock explanation:** • Gas price shock raises input costs for energy-intensive industries (1). • SRAS shifts leftward: falling real output and rising price level (stagflation-like response) (1). • ECB raises rates in response to the supply-side shock to anchor inflation expectations, not as the cause (1). **Up to 3 marks for analysis supporting the tighter monetary policy explanation:** • Higher interest rates reduce investment and consumption of durable goods (1). • Contractionary monetary policy shifts AD leftward, reducing real output (1). • Tighter credit conditions hit industrial firms with working capital needs first (1). *Maximum 4 marks for analysis without balanced evaluation. Reserve 1 mark for balanced evaluation; 1 mark for justified conclusion.*	
1(e)	**Assess whether subsidies for renewable energy are a more effective long-term response to energy insecurity than building new LNG import terminals.** **Up to 3 marks supporting renewables:** • Reduces dependency on any single foreign supplier (1); improves energy self-sufficiency (1). • Addresses climate externalities; aligns with EU Green Deal (1). • Lower long-run marginal cost once infrastructure is built (1). **Up to 3 marks supporting LNG terminals / limitations of renewables:** • LNG provides immediate dispatchable supply; renewables intermittent (1). • Opportunity cost of subsidies; dependence on rare-earth inputs / Chinese supply chains (1). • High upfront capital cost; grid integration challenges (1). *Maximum 4 marks without balanced evaluation. Reserve 1 for balanced evaluation; 1 for justified conclusion.*	**6**

Section B

Use Tables A and B for (b) parts. Follow the point-based marking guidance for (a) parts.

Question	Answer	Marks
EITHER		
2(a)	**Explain, with examples, how negative externalities of consumption and negative externalities of production differ, and consider why they can both lead to market failure in a free market economy.** *Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.* **AO1 (max 3):** • Negative externality = cost imposed on a third party not involved in the transaction (1). • Consumption externality: MSB < MPB (1). Examples: tobacco smoking, drink-driving, noise from parties. • Production externality: MSC > MPC (1). Examples: industrial emissions, water pollution from factories. **AO2 (max 3):** • In both cases, the free market outcome diverges from the social optimum (1). • With consumption externalities, market over-consumes at the level where MPB = MPC (1). • With production externalities, market over-produces at the level where MPC = MPB (1). • In both cases, welfare loss (deadweight loss) triangle is shown on a diagram (1). **AO3 (max 2):** • Both types cause allocative inefficiency (1); the extent and correction differ — consumption externalities often addressed by demand-side tools (taxes/info), production externalities by supply-side tools (regulation/permits) (1).	**8**
2(b)	**Assess whether a tradable permits scheme is a more effective policy than a carbon tax in reducing negative externalities.** *Use Table A (8 marks) and Table B (4 marks).* **Indicative content:** **AO1 / AO2:** • Tradable permits: regulator sets a cap on total emissions; firms trade permits — cost-effective allocation to firms with lowest abatement cost. • Carbon tax: raises the private cost of emissions, internalising the externality; certainty on price but uncertain quantity outcome. • Permits advantages: quantity certainty (hit emissions cap), market-based flexibility, revenue from auctioning.	**12**

Question	Answer	Marks
	• Permits disadvantages: price volatility (e.g. EU ETS early years), need for accurate cap-setting, risk of over-allocation, carbon leakage. • Carbon tax advantages: price certainty, simpler administration, flexible revenue use. • Carbon tax disadvantages: emissions outcome uncertain, political difficulty, regressive impact on households. **AO3:** • A justified conclusion: effectiveness depends on whether certainty of quantity or price is more important; scale of firms covered; administrative capacity; political feasibility; international coordination (border adjustments). *A one-sided response cannot gain any marks for evaluation.*	
OR		
3(a)	**With the help of a diagram, explain the difference between a shift in the supply curve for labour and a movement along the supply curve for labour, and consider the factors that may cause a shift in the supply of labour for a particular occupation.** *Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.* **AO1 (max 3):** • Labour supply curve shows quantity of labour willing to work at each wage rate (1). • A movement along the curve is caused by a change in the wage rate in that occupation (1). • A shift in the curve is caused by changes in non-wage factors (1). Diagram showing both types of change (1). **AO2 (max 3): Factors causing shifts:** • Changes in the size of the working-age population / net migration (1). • Changes in non-monetary benefits / working conditions (1). • Changes in training/qualification requirements (1). • Changes in wage rates in alternative occupations (1). • Changes in social attitudes / tastes for that type of work (1). **AO3 (max 2):** • Some shifts may be slow to materialise (e.g. training takes years) (1); others may be highly responsive (e.g. migration following wage signals) (1).	**8**
3(b)	**Assess the extent to which a rise in the statutory minimum wage will always lead to a fall in employment in a developed economy such as the UK.** *Use Table A (8 marks) and Table B (4 marks).*	**12**

Question	Answer	Marks
	Indicative content: **AO1 / AO2:** • Standard perfectly competitive labour market analysis: a minimum wage above equilibrium causes Qs > Qd, leading to unemployment. Diagram showing this. • However, the extent depends on PEDL (elasticity of demand for labour), which is lower for inelastic labour demand (low substitutability of capital, essential workers). • Monopsony labour markets (single dominant employer): a minimum wage can raise both wages AND employment, as shown by monopsony diagram. • Efficiency wage theory: higher wages may raise productivity, reducing net cost. • Empirical evidence (e.g. UK National Living Wage studies) shows mixed employment effects. • Size of the rise matters: small rises less disruptive than large ones. **AO3:** • Conclusion: 'always' is too strong. Employment effects depend on the structure of the labour market, size of the rise, elasticity of demand, and productivity response. Empirical evidence does not always support textbook predictions. *A one-sided response cannot gain any marks for evaluation.*	

Section C

Use Tables A and B for (b) parts. Follow the point-based marking guidance for (a) parts.

Question	Answer	Marks
EITHER		
4(a)	**Using an AD/AS diagram, explain how a simultaneous rise in oil prices and a fall in consumer confidence in the EU might affect real GDP and the price level, and consider which effect is likely to be greater.** *Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.* **AO1 (max 3):** • Oil price rise = negative supply-side shock → SRAS shifts left (1). • Fall in consumer confidence → fall in C → AD shifts left (1). • Diagram showing both shifts with axes labelled (real GDP and price level) (1). **AO2 (max 3):** • Both shifts reduce real GDP — compounding recessionary effect (1). • The price-level effect is ambiguous: SRAS shift raises it, AD shift lowers it (1). • Net price effect depends on the relative size of the two shifts (1). **AO3 (max 2):** • Which is greater depends on: oil intensity of the economy, households' sensitivity to confidence, sectoral composition (1); in the short run, supply shock often dominates prices while AD dominates output (1).	**8**
4(b)	**Assess the extent to which a central bank faces a trade-off between reducing inflation and avoiding a rise in unemployment.** *Use Table A and Table B.* **Indicative content:** **AO1 / AO2:** • Short-run Phillips curve: inverse relationship between inflation and unemployment. • Tighter monetary policy → higher interest rates → lower AD → lower price level growth but higher cyclical unemployment. • Trade-off depends on source of inflation: demand-pull (trade-off exists) vs cost-push (worse trade-off). • Long-run: expectations-augmented Phillips curve (NAIRU) — no permanent trade-off. • Credibility and expectations: credible inflation-targeting central banks can reduce inflation with smaller unemployment cost.	**12**

Question	Answer	Marks
	• Supply-side policies weaken the trade-off: labour market flexibility, productivity growth. **AO3:** • The trade-off exists in the short run but not in the long run; its severity depends on inflation expectations, central bank credibility, labour market structure, and whether the shock is demand- or supply-driven. The 'extent' must be argued. *A one-sided response cannot gain any marks for evaluation.*	
OR		
5(a)	**Explain the difference between the current account and the financial account of the balance of payments, and consider how a persistent current account deficit might be financed.** *Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.* **AO1 (max 3):** • Current account = trade in goods + services + primary income + secondary income (1). • Financial account = net flows of financial assets (FDI, portfolio investment, reserves, other investment) (1). • BoP identity: CA + FA ≈ 0 (1). **AO2 (max 3):** • A current account deficit must be matched by a surplus on the financial account (net capital inflow) (1). • Financing methods: FDI inflows (1); portfolio inflows (equities/bonds) (1); borrowing from foreign banks (1); sale of foreign exchange reserves (1); IMF loans (1). **AO3 (max 2):** • Sustainability depends on whether financing is stable (FDI) or volatile (portfolio) (1); foreign willingness to hold the country's assets, which depends on returns and credibility (1).	**8**
5(b)	**Assess the extent to which protectionist policies are an effective way to correct a persistent current account deficit.** *Use Table A and Table B.* **Indicative content:** **AO1 / AO2:** • Protectionist policies: tariffs, quotas, subsidies to domestic firms, non-tariff barriers. • Mechanism: tariffs raise price of imports → lower import quantity → improve trade balance (short run). • Limitations: retaliation (US–China trade war 2018–19 reduced US exports); higher input costs for firms using imported intermediates; loss of consumer surplus; breach of	**12**

Question	Answer	Marks
	WTO rules. • Ineffective if deficit is caused by domestic over-consumption or savings–investment imbalance — addressing only imports treats symptom, not cause. • Alternative policies: exchange rate depreciation, supply-side reforms, fiscal tightening, export promotion. **AO3:** • Effectiveness depends on: whether the deficit reflects competitiveness or savings-investment gap; retaliation; size of the trade partners; global integration; and WTO/FTA constraints. US 2018 tariffs did not meaningfully reduce the overall US deficit — it widened by 2019. *A one-sided response cannot gain any marks for evaluation.*	